Mindteck Inc. and its Subsidiary

Consolidated Financial statements

March 31, 2024 and 2023

(With Independent Auditors' Report)

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED FINANCIALS
MARCH 31, 2024 & 2023

INDEX TO CONSOLIDATED FINANCIAL STATEMENTS

Suresh Surana & Associates LLP
Chartered Accountants

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INDEPENDENT AUDITOR'S REPORT

The Board of Directors,
Mindteck (India) Limited

Report on the Audit of Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Mindteck, Inc. and its subsidiary (the Group), which comprise the consolidated balance sheet as of March 31, 2024 and the related consolidated statement of income and comprehensive income/ (loss), changes in stockholders' equity and cash flows for the years then ended. And the related notes to the consolidated financial statements including a summary of significant accounting policies.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements are prepared, in all material respects, in accordance with the basis of accounting described in Note 2 to those consolidated financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

Basis of Accounting and Restriction on Distribution

We draw attention to Note 2 to the consolidated financial statements which describe the basis of accounting. These consolidated financial statements are prepared solely for internal use of the management. As a result, these consolidated financial statements may not be suitable for another purpose. This report should not be used by, referred to or distributed for any other purpose. We do not accept or assume responsibly to anyone other than to whom this report is addressed, for our audit work, for this report, or for the opinion we have formed. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

For Suresh Surana & Associates LLP
Chartered Accountants
Firm's Registration No.121750W / W-100010

Rajesh Maniar
Partner
Membership No.: 040833
ICAI UDIN: 24040833BKDXAT9782

Place: Bengaluru, India
Date: 28 June 2024

Suresh Surana & Associates LLP
Bangalore

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED BALANCESHEETS
(In United States Dollars)

Assets	As of March 31, 2024	As of March 31, 2023
Current assets:		
Cash and cash equivalents	4,089,781	4,026,668
Accounts receivable from affiliates (Notes 3 &10)	187,988	200,909
Accounts receivable, net of allowances (Note 3)	3,107,857	2,947,821
Unbilled revenue	1,245,896	1,224,693
Loan to affiliates (Note 10)	808,228	678,270
Income tax assets	19,146	83,607
Other current assets (Note 4)	98,645	108,576
Total current assets (A)	**9,557,541**	**9,270,544**
Non-current assets:		
Property and equipment, net (Note 5)	3,798	4,318
Total non-current assets (B)	**3,798**	**4,318**
Total assets (C)=(A)+(B)	**9,561,339**	**9,274,862**
Liabilities and Stockholders' equity		
Current liabilities:		
Accounts payable	420,485	395,720
Accounts payable to affiliates (Note 10)	1,065,661	960,493
Other current liabilities (Note 7)	729,263	654,461
Unearned revenue	8,707	41,968
Compensated absences	178,805	153,434
Total current liabilities (D)	**2,402,921**	**2,206,076**
Total liabilities (E)	**2,402,921**	**2,206,076**
Commitments & Contingencies (Note 14)		
Stockholders' equity		
Common stock, $1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	19,000	19,000
Additional paid-in capital	8,194,493	8,194,493
Retained earnings/(Accumulated deficit)	(1,032,280)	(1,121,873)
Accumulated other comprehensive income/(loss)	(22,795)	(22,834)
Total stockholders' equity attributable to Mindteck, Inc. (F)	**7,158,418**	**7,068,786**
Total liabilities and stockholders' equity (G) = (E) + (F)	**9,561,339**	**9,274,862**

See accompanying notes to consolidated financial statements.

MEENAZ DHANANI
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MINDTECK INC. AND ITS SUBSIDIARY

CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME/(LOSS)

(In United States Dollars)

	Year ended March 31, 2024	Year ended March 31, 2023
Revenues	21,241,017	20,543,019
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(18,448,441)	(17,707,970)
Selling, general and administrative expenses (excluding depreciation and amortization)	(2,818,846)	(2,777,648)
Depreciation and amortization (Note 5)	(2,313)	(2,936)
Total operating expenses	**(21,269,600)**	**(20,488,554)**
Operating income/(loss)	**(28,583)**	**54,465**
Other income (Note 6)	3,343	10,157
Interest (expense)/income, net	134,423	49,844
Income/(loss) before income taxes	**109,183**	**114,466**
Income tax benefit/(expense) (Note 8)	(19,590)	(6,079)
Net income/(loss)	**89,593**	**108,387**
Other comprehensive income/(loss):		
Foreign currency translation adjustment	39	(26,772)
Total comprehensive income/(loss) attributable to the Company	**89,632**	**81,615**

See accompanying notes to consolidated financial statements.

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2022

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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional Paid- in Capital	Retained earnings/ (Accumulated deficit)	Accumulated Other Comprehensive income/(loss)	Total Stock holders' Equity
	Number of shares	Amount				
As at April 01, 2022	19,000	19,000	8,194,493	(1,230,260)	3938	6,987,171
Stock compensation expense [Note 11]	-	-	-	-	-	-
Net income/(loss)	-	-	-	108,387	-	108,387
Other comprehensive income/(loss)	-	-	-	-	(26,772)	(26,772)
As at March 31, 2023	**19,000**	**19,000**	**8,194,493**	**(1,121,873)**	**(22,834)**	**7,068,786**
Stock compensation expense [Note 11]	-	-	-	-	-	-
Net income/(loss)	-	-	-	89,593	-	-
Other comprehensive income/(loss)	-	-	-	-	39	-
As at March 31, 2024	**19,000**	**$ 19,000**	**8,194,493**	**(1,032,280)**	**(22,795)**	**-**

See accompanying notes to consolidated financial statements.

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SEAL
2022
FLORIDA

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In United States Dollars)

	Year ended March 31, 2024	Year ended March 31, 2023
Cash flows from operating activities:		
Net income/(loss)	89,593	108,387
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	2,313	2,936
Allowance for doubtful accounts	(13,040)	61,496
Changes in operating assets and liabilities		
Accounts receivable and unbilled revenue	(154,820)	846,090
Other assets and deposits	9,929	67,503
Income taxes	64,633	(61,301)
Accounts payable	129,945	(309,229)
Other liabilities	66,882	(771,599)
Net cash provided by operating activities	**195,435**	**(55,718)**
Cash flows from investing activities:		
Expenditure on property and equipment	(1,793)	(1,382)
Purchase Return	-	1,047
Net cash used in investing activities	**(1,793)**	**(335)**
Cash flows from financing activities:		
Disbursement of Loan	(300,000)	-
Proceeds from recovery of loan	170,042	70,073
Proceeds from borrowings	-	-
Net cash provided by financing activities	**(129,958)**	**70,073**
Effect of exchange rate changes on cash and cash equivalents	(571)	(22,760)
Net changes in cash and cash equivalents	**63,113**	**(8,740)**
Cash and cash equivalents at beginning of year	4,026,668	4,035,408
Cash and cash equivalents at end of year	**4,089,781**	**4,026,668**
Supplementary information:		
Cash paid for interest		102
Cash received for interest	134,423	49,946

See accompanying notes to consolidated financial statements.

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2022
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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

MINDTECK, INC.
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2022
FLORIDA

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Naples, Florida. The Company was incorporated on November 14, 1995 and is a subsidiary of Mindteck (India) Limited ("MIL"). On January 10, 2018, Mindteck Canada, Inc. ("Mindteck Canada") was incorporated under the laws of Canada as a wholly owned subsidiary of the Company.

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements and principles of consolidation

The accompanying consolidated financial statements have been prepared, in accordance with recognition and measurement principles generally accepted in the United States, by management for its internal use only.

The accompanying financial statements have been prepared on a consolidated basis and reflect the financial statements of the Company and its subsidiary that are more than 50% owned or controlled. The consolidated financial statements of the Company, includes the accounts of its wholly owned subsidiary, Mindteck Canada. All intercompany transactions and balances are eliminated in consolidation.

The functional currency and reporting currency of the Company is the United States Dollar ("USD/$").

(b) Use of estimates:

The preparation of these financial statements requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from those estimates. Management believes that the estimates used in the preparation of the consolidated financial statements are prudent and reasonable. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

Rendering of services:

The Company derives its revenues primarily from software development and IT-enabled service including technical consultancy services. Revenues are recognized when there is persuasive evidence of a contractual arrangement with customers, services have been rendered, the fee is fixed or determinable and collectability is reasonably assured. The Company has concluded that it has persuasive evidence of a contractual agreement when it enters into an agreement with its customers with terms and conditions which describe the services and the related payments are legally enforceable. Revenues are recognized net of value added tax and applicable discounts and includes reimbursements of out-of-pocket expenses, with corresponding cost for out-of-pocket expenses included in cost of revenues.

The services are performed under both time-and-material and fixed-price arrangements. Revenues with respect to time-and-material are recognized as the related services are performed. Time-and-material contracts typically bill at an agreed upon hourly or daily rate. Revenue related to fixed fee arrangements are recognized using the percentage completion method based on actual direct costs in relation to total estimated costs. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the

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SEAL
2022
FLORIDA

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period in which such losses become probable based on the current contract estimates.

The Company grants volume discounts to certain customers, which are computed based on a pre-determined percentage of total revenues from those customers during a specified period, as per the terms of the contract. These discounts are earned only after the customer has provided a certain specified cumulative level of revenues in the specified period. The Company reports revenues net of discount offered to customers.

The Company recognizes cash discounts as a reduction of revenues.

Multiple contracts with a single counterparty are evaluated to determine whether such contracts should be accounted for as separate contracts or aggregated and accounted for as a single contract. The Company evaluates whether the services are interdependent or interrelated with respect to the services being performed. If contracts are considered separate, the related costs are identified, tracked and reported separately and the contracts are serviced by different project management teams and potentially performed at different locations.

Interest income:

Interest income is recognized using the time proportion method, based on the transactional interest rates.

Unbilled revenue:

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Deferred revenue/ unearned revenue:

Deferred revenue represents billing in excess of revenue recognized and advance payments received from customers for which no services have been rendered. Billing done during the reporting period in excess of revenue recognized or billing done in advance is recorded as deferred revenue until the revenue recognition criteria is met.

Allowance for doubtful accounts:

Accounts receivables are reviewed periodically to determine the probability of loss. Accounts receivables are recorded at the invoiced amount and do not bear interest. The allowance for uncollectible accounts is determined using the combination of the specific identification method for balances deemed uncollectible, as well as judgments made by the Company based upon historical and expected collection experience.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, accounts and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and accounts and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions.

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CORPORATE
SEAL
2022
FLORIDA

(In United States Dollars, except where otherwise stated)

The Company has a concentration of its revenue and receivables with specific customers. The accounts receivable, net of allowances, amounted to USD 3,295,845 and USD 3,148,730 as of March 31, 2024 and 2023 respectively. Revenues amounting to more than 10% of the total revenue of the Company accounted from four customers amounting to USD 13,490,132 in 2024 and from three customers amounting to USD 10,435,428 in 2023. The amounts due from these customers accounted for USD 1,961,490 of accounts receivable as of March 31, 2024 and USD 1,549,521 as of March 31, 2023, respectively.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected. Accounts receivable balances are charged off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

(f) Property and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. Upon disposal, assets and related accumulated depreciation are removed from the Company's accounts and the resulting gains and losses are reflected in current earnings in the consolidated statements of income. The Company depreciates property and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

Property and equipment are reviewed for impairment if indicators of impairment arise. There were no impairment charges related to property and equipment recognized during the years ended March 31, 2024 and 2023.

(g) Goodwill:

The Company accounts for its business combinations under the acquisition method of accounting. Goodwill represents the cost of the acquired businesses in excess of the fair value assigned to identifiable net assets acquired.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.

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SEAL
2022
FLORIDA

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SEAL
2022
FLORIDA

h) Employee benefits:

Defined contribution plan

Eligible employees of the Company in the United States may elect to participate in an employee retirement savings plan maintained pursuant to Section 401(k) of the United States Internal Revenue Code of 1986, as amended, (the "401(k) Plan"). The 401(k) Plan allows for employees to defer a portion of their annual earnings on a pre-tax/after tax basis through voluntary contributions to the 401(k) Plan. The Company may make discretionary matching contributions under the 401(k) Plan, but the Company is not currently making any such matching contributions.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2021, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

Pursuant to adoption of ASU 2015-17 *"Balance sheet Classification of Deferred Taxes"*, the Company has classified all deferred tax assets and liabilities as non-current on the balance sheet prospectively.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates. The Company presents the entire compensated absences balance as a current liability in the balance sheet since it does not have an unconditional right to defer its settlement for twelve months after the reporting date.

(k) Foreign currency translation:

Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled.

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Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

The functional currency of Mindteck Inc. is U.S. dollars. The functional currency of Mindteck Canada Inc. is determined as Canadian dollars (CAD) based on the evaluation of the individual and collective economic factors as discussed in ASC Topic 830-10. The assets and liabilities of Mindteck Canada Inc. are translated into U.S. dollars($) exchange rates in effect at the balance sheet date, and revenues and expenses are translated at average rates of exchange in effect during the period. The resulting cumulative translation adjustment is recorded in accumulated other comprehensive income/(loss) in stockholders' equity.

(l) Employee stock options:

Certain employees of the company have been granted stock options under Mindteck (India) Limited's Mindteck Employee Stock Option Scheme, 2005, Employee Stock Option Scheme 2008, and Employee Stock Option Scheme 2020 which gives such employees the right to purchase equity shares of MIL on exercise.

The Mindteck (India) Limited accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks–based payments awards based on the grant date fair value of those awards. For awards with graded vesting that are linked to service condition, the Mindteck (India) Limited recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with the same are expensed as incurred.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the consolidated statement of income over the term of the lease on a straight-line basis.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Subsequent events

The Company evaluates events and transactions that occur subsequent to the balance sheet date but prior to the issuance date of the consolidated financial statements to determine the necessity for recognition and/or reporting of any of these events and transactions in the consolidated financial statements.

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2022
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(In United States Dollars, except where otherwise stated)

(q) Recently issued accounting pronouncements

In June 2016, FASB issued ASU 2016-13, *Financial Instruments-Credit Losses.* The amendments in this update require a financial asset (or a group of financial assets) measured at amortized cost basis to be presented at the net amount expected to be collected. The allowance for credit losses is a valuation account that is deducted from the amortized cost basis of the financial assets to present the net carrying value at the amount expected to be collected on the financial asset. The income statement reflects the measurement of credit losses for newly recognized financial assets, as well as the expected increases or decreases of expected credit losses that have taken place during the period. The measurement of expected credit losses is based on relevant information about past events, including historical experience, current conditions, and reasonable and supportable forecasts that affect the collectability of the reported amount. An entity must use judgment in determining the relevant information and estimation methods that are appropriate in its circumstances.

The update was effective for fiscal years beginning after December 15, 2020, which was deferred to fiscal years beginning after December 15, 2022 by ASU No. 2019-10 issued in November 2019. The Company is currently evaluating the impact of this ASU on its consolidated financial statements and disclosures.

3. Accounts receivable:

Accounts receivable consists of:

	As of March 31,	
	2024	**2023**
Accounts receivable from affiliates (Refer Note 10)	**187,988**	**200,909**
Accounts receivable, net of allowances		
Accounts receivable, gross	3,156,122	3,009,180
Less: Allowance for doubtful accounts	(48,265)	(61,359)
Accounts receivable, net of allowances	**3,107,857**	**2,947,821**

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	For the year ended March 31,	
	2024	**2023**
Allowance at the beginning of the year	61,359	-
Provision Created/(Reversed)	(13,094)	61,359
Allowance at the end of the year	**48,265**	**61,359**

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MINDTECK INC.
CORPORATE
SEAL
2022
FLORIDA

(In United States Dollars, except where otherwise stated)

4. Other current assets:

Other current assets consist of the following:

	As of March 31,	
	2024	**2023**
Prepaid expenses	68,168	78,278
Advances to suppliers and others	8,538	4,979
Deposits	1,506	451
Interest & Short Term Gain Accrued	20,433	24,868
Other current assets	**98,645**	**108,576**

5. Property and equipment, net:

Property and equipment, net consist of the following:

	As of March 31,	
	2024	**2023**
Computer equipment	65,344	63,551
Furniture and fixtures & office equipment	-	-
Property and equipment, gross	65,344	63,551
Less: Accumulated depreciation	(61,546)	(59,233)
Property and equipment, net	**3,798**	**4,318**

Depreciation expense on property and equipment amounted to USD 2,313 and USD 2,936 for the years ended March 31, 2024 and 2023 respectively.

6. Other income:

Other Income Consist of :

	As of March 31,	
	2024	**2023**
PPP Loan forgiven	-	-
Others	3,343	10,157
Other Income	**3,343**	**10,157**

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CORPORATE
SEAL
2022
FLORIDA

(In United States Dollars, except where otherwise stated)

MINDTECK, INC.
CORPORATE
SEAL
2022
FLORIDA

7. Other current liabilities:

Other current liabilities consist of:

	As of March 31,	
	2024	2023
Salary and wages payable	286,292	326,840
Accrued expenses	418,056	302,231
Statutory liabilities	24,915	25,390
Other current liabilities	729,263	654,461

8. Income taxes:

The income tax expense during the years ended March 31, 2024 and 2023 consist of the following:

	For the year ended March 31,	
	2024	2023
Current tax expense/(benefit):		
Federal	(2,169)	(16,103)
State	21,759	22,182
	19,590	6,079
Deferred tax expense/(benefit):	-	-
Federal	-	-
State	-	-
Income tax expense/(benefit)	19,590	6,079

Income tax expense for the year ended March 31, 2024, relates to state and federal income taxes. Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 21% primarily due to changes in valuation allowance, permanent differences, and state income taxes.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2024 and 2023 are as follows:

	As of March 31,	
	2024	2023
Deferred tax assets:		
Bad debt reserve	-	-
Carry forward business losses	1,302,396	1,318,009
Accrued expenses and liabilities	112,261	125,844
Plant and equipment	(154)	356
Total gross deferred tax asset	1,414,503	1,444,209
Less: Valuation allowance	(1,414,503)	(1,444,209)
Total deferred tax assets	-	-

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(In United States Dollars, except where otherwise stated)

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Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and considering the uncertain economic environment and the COVID-19 pandemic, projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will not realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2021. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 1,414,503 and USD 1,444,209 as of March 31, 2024 and March 31, 2023 respectively representing an decrease in valuation allowance of USD 29,706 on deferred tax assets including deferred tax assets in relation to the net operating loss carry forward.

As of March 31, 2024, the Company has federal net operating loss carry forwards of USD 5,067,987 and state net operating loss carry forwards of USD 3,693,562 available to offset future taxable income, which expire in various years beginning in 2032.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2018. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2017. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

9. Revenue from contracts with customers

Disaggregation of revenue

Revenue by type of contract

	For the year ended March 31, 2024	2023
Time-and-material	20,524,356	19,438,944
Fixed price	716,661	1,104,075
Total	**21,241,017**	**20,543,019**

Timing of revenue recognition

	For the year ended March 31, 2024	2023
Services transferred at a point in time	-	-
Services transferred over time	21,241,017	20,543,019
Total	**21,241,017**	**20,543,019**

The performance obligations under revenue contracts included maintenance and support services or; delivery of specific milestones/deliverables. These performance obligation for revenue recognized during the year were satisfied over time since the customers simultaneously received and consumed the benefits as the Company performed the services.

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(In United States Dollars, except where otherwise stated)

Contract balances

Accounts receivable, net

The customers are billed on a regularly scheduled basis, such as bi-weekly or monthly. The payment terms are generally 30 to 90 days.

Unbilled revenue

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Unearned revenue

Unearned revenue consists of billings in advance of revenue recognition from services and is recognized as revenue when transfer of control to customers has occurred. Unearned revenue relates to contract with billing milestones which are different from performance under the contract and advance billing for maintenance and support contracts for which revenue is recognized ratably over time.

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	For the year ended March 31,	
	2024	**2023**
Income from IT-enabled services:		
a) Mindteck (India) Limited – holding company	150,000	171,380

	For the year ended March 31,	
	2024	**2023**
Reimbursement of expenses from:		
a) Mindteck (India) Limited – holding company	32,840	38,291
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	5,540,334	65,15,633
b) Mindteck Singapore Pte Ltd– fellow subsidiary	101,916	87,336
c) Mindteck Germany GmbH– fellow subsidiary	202,891	41,075
d) Mindteck (UK) Limited – fellow subsidiary	113,884	-
Reimbursement of expenses to:		
a) Mindteck (India) Limited – holding company	171,555	131,680
b) Mindteck Singapore Pte Ltd – fellow subsidiary	16,499	8,140
c) Mindteck Middle East Limited WLL – fellow subsidiary	-	1,431
d) Mindteck (UK) Limited – fellow subsidiary	39,698	-

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CORPORATE
SEAL
2022
FLORIDA

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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

MINDTECK, INC.
CORPORATE
SEAL
2022
FLORIDA

The balances receivable from and payable to related parties as at March 31, 2024 and 2023 are as follows:

Accounts receivable:	As of March 31, 2024	2023
Outstanding Balance Receivable from:		
Mindteck (India) Limited - holding company	76,923	89,844
Mindteck Germany GmbH - fellow subsidiary	111,065	111,065
Total Accounts receivable	**187,988**	**200,909**

Accounts payables:	As of March 31, 2024	2023
Outstanding Balance Payable to:		
Mindteck (India) Limited – holding company	535,065	502,331
Mindteck Singapore Pte Ltd – fellow subsidiary	24,518	29,168
Mindteck (UK) Limited – fellow subsidiary	5,467	-
Mindteck Germany GmbH - fellow subsidiary	16,434	12,836
Total Oustanding Balances payable to affiliates	**581,484**	**544,335**
Sub Contractor – Fees accrued:		
Mindteck (India) Limited – holding company	484,177	416,158
Total Accounts payables	**1,065,661**	**960,493**

Loans to affiliates:	As of March 31, 2024	2023
Mindteck Germany GmbH – fellow subsidiary	808,288	678,270
Total	**808,288**	**678,270**

Loan to Mindteck Germany GmbH carries interest of 1% with an option to pay anytime on or before August 30, 2031 and additional loan to Mindteck Germany GmbH issued in current year carries interest of 3% with an option to pay anytime on or before September 30, 2027. The interest income relating to the loan to Mindteck Germany GmbH as at March 31, 2024 and March 31, 2023 amounts to USD 14,058.30 and USD 7,019.20 respectively.

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the "Mindteck Employees Stock Option Scheme 2005" ("the Option Scheme 2005") for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three-year period and are exercisable during a maximum period of five years from the date of vesting.

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(In United States Dollars, except where otherwise stated)

Mindteck (India) Limited has granted Nil options during the year ended March 31, 2024 and 2023, respectively.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price ($)	
	2024	2023	2024	2023
Outstanding at the beginning of the year	-	5,600		0.50
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	-	(5,600)		(0.50)
Exercised during the year	-	-	-	-
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of the year	-	-	-	-

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2008' ('the Option Scheme 2008') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Mindteck (India) Limited has granted Nil options during the year ended March 31, 2024 and 2023, respectively.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price ($)	
	2024	2023	2024	2023
Outstanding at the beginning of the year	66,667	113,333	1.10	1.15
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	(33,333)	(46,666)	1.10	0.94
Exercised during the year	-	-	-	-
Outstanding at the end of the year	**33,334**	**66,667**	**1.10**	**1.10**
Exercisable at the end of the year	**33,334**	**66,667**	**1.10**	**1.10**

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MINDTECK, INC.
CORPORATE
SEAL
2022
FLORIDA

(In United States Dollars, except where otherwise stated)

The following table summarizes key information relating to the Option Scheme 2005 and Option Scheme 2008:

Particulars	Weighted average remaining contractual life		Range of exercise price	
	2024	2023	2024	2023
Option Scheme 2005	-	-	-	-
Option Scheme 2008	0.41	0.92	$1.10	$1.10

During the year ended March 31, 2024 and 2023, the Company recognized approximately USD Nil and USD Nil as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

The per share weighted average fair value of stock options granted during the year ended March 31, 2024 and 2023 were USD Nil and USD Nil, respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model. The Company has not granted any options during the year ended March 31, 2024.

The unamortized stock compensation cost relating to unvested options as at March 31, 2024 and March 31, 2023 amounts to USD Nil and USD Nil respectively. The total ESOP costs was USD Nil and USD Nil during the years ended March 31, 2024 and 2023 respectively.

12. Leases

Operating leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

Future minimum lease payments under non-cancelable leases are as follows:

Year ending March 31, 2025	9,566
Total	**9,566**

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 40,778 and USD 35,824 for the years ended March 31, 2024 and 2023 respectively.

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CORPORATE
SEAL
2022
FLORIDA

13. Commitments and contingencies

Capital commitments

There were no capital commitments as of March 31, 2024 and 2023.

Contingencies and lawsuits

The Company is not involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

14. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

15. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements.

The Company evaluated all events or transactions that occurred between March 31, 2024 and March 31, 2023 the date the Company issued their financial statements and determined that no events or transactions which would require adjustments in the Company's financial statements except as disclosed above.

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